TEACHER GUIDE

SQA Higher Business Management (C810 76)

Organisational structure

Understanding business
Structures



A revision lesson. Pupils run a car dealership in firms of four and revise organisational structure on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Matrix team problem

Round 1

Sales, finance and workshop staff form a team to launch a service. Each reports to two managers.

Which problem is most likely?

- **A** Too little variety for staff
- **B** Conflicting orders from two bosses
- **C** Less sharing of ideas across teams
- **D** One manager's span is too narrow

ANSWER

✓ Conflicting orders from two bosses

Why: In a matrix staff answer to two managers, whose demands can clash.

2 Branch power risks

Round 1

You let branch managers set prices and hire their own staff.

Which two are the main risks?

- **A** More decisions go to head office
- **B** Branches charge different prices
- **C** Head office loses some control
- **D** Decisions reach branches slowly
- **E** Local managers feel less trusted

ANSWER

✓ Branches charge different prices
✓ Head office loses some control

Why: Local decisions are faster, but less consistent and harder to control.

3 Rank manager cost

Round 2

Three branches: managers, their pay, and the staff they lead.

Order by management cost per worker, lowest first?

- **A** 3 managers on £45,000, 27 staff
- **B** 6 managers on £36,000, 72 staff
- **C** 4 managers on £40,000, 40 staff

ANSWER

1. **6 managers on £36,000, 72 staff**
2. **4 managers on £40,000, 40 staff**
3. **3 managers on £45,000, 27 staff**

Why: £3,000, £4,000 and £5,000 per worker: wider spans cost less.

Topic tasks

4 Delayering saving

Round 2

You cut a layer of middle managers.

Saving in year 1?

Managers removed	**2 staff**
Pay of each, a year	**£35,000**
Redundancy pay, each, once	**£9,000**
Rise, each of the 7 who stay	**£2,500**

ANSWER

£34,500

2 × (£35,000 − £9,000) − 7 × £2,500 = £34,500

Why: Year 1 carries the redundancy pay; the full saving comes from year 2.

5 Who sets prices

Round 3

Buyers complain that the same model costs more in another of your branches.

What should you change, and why?

A Let each branch keep its prices

B Set prices at head office

ANSWER

✓ **Set prices at head office**

Why: Central pricing makes every branch charge the same.

6 Fix slow approvals

Round 3

Branch staff wait days for head office to approve each discount, and they lose sales.

Which fix fits, with its main risk?

A Centralise further: slower replies

B Add a layer: spans get wider

C Decentralise: branch prices may differ

D Decentralise: decisions get slower

ANSWER

✓ **Decentralise: branch prices may differ**

Why: Branch decisions are quicker, but each branch may price differently.

Final questions

Each pupil answers 6 final questions on organisational structure. They come from these 9 questions.

1. A dealer group gives each branch manager authority over local pricing within a defined margin floor. What organisational change does this describe?
   ✔ **Decentralisation within a controlled decision boundary**

2. A national service network has slow approvals because every local refund must reach head office. Which redesign most directly addresses the delay while retaining control?
   ✔ **Delegate refunds up to a limit; audit exceptions**

3. Branch staff wait two days for head-office approval of routine parts substitutions. Best structural response?
   ✔ **Delegate within safety and cost limits; escalate and audit exceptions**

4. A dealer group lets each branch manager approve courtesy-car bookings up to a set value without contacting head office. Which organisational feature does this describe?
   ✔ **Delegation of authority within defined limits**

5. A dealer group lets each branch manager set trade-in prices locally instead of head office. What is the main risk?
   ✔ **Branch prices and margins vary**

6. After a merger, a workshop manager supervises fourteen technicians instead of six. What has changed, and what is the likely effect?
   ✔ **Wider span: each technician gets less of the manager's attention**

7. A dealer group removes its layer of area managers. Each branch manager now reports straight to the regional director. What happens to the director's span of control?
   ✔ **It widens**

8. A dealer group lets each branch manager set used-car prices for their own local market. What is the main benefit of this decentralisation?
   ✔ **Decisions reflect local conditions and are made faster**

9. Which is a likely drawback of a tall organisational structure in a large dealer group?
   ✔ **Slow communication between senior managers and sales staff**